

# Informal Regulation and Housing Supply: Evidence from Chicago’s Aldermanic Privilege

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## Abstract

Land-use regulation in cities depends not only on the formal rules, but also on the individual politicians who administer them. Many U.S. cities allow substantial informal discretion in the development approval process, often exercised by the local politician representing the district where development is proposed. I study informal regulatory discretion in Chicago, where “aldermanic privilege” gives city council members substantial influence over development in their wards. I construct alderman-level “stringency scores” from permit processing times and use complementary event-study and boundary-discontinuity designs to estimate the effects of these informal regulations on housing supply and prices. Assignment to a more stringent alderman lowers permitting activity by 12%, while multifamily density is 13–17% lower immediately on the more-stringent side of a ward boundary. I also find that home prices are 3.0% higher on the more-stringent side, while rents are 1.8% higher but not statistically distinguishable from zero. These results show that informal regulation can distort housing supply and potentially affect citywide housing affordability, even in areas where the formal zoning rules are similar.

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# 1 Introduction

Housing costs in the United States have risen sharply, and a large literature points to land-use regulation as a central cause. Restrictive zoning, permitting frictions, and inclusionary zoning requirements limit housing supply, raise prices, and distort the allocation of labor across cities (Glaeser, Gyourko and Saks, 2005; Saiz, 2010; Turner, Haughwout and Van Der Klaauw, 2014; Hsieh and Moretti, 2019; Duranton and Puga, 2023; Soltas, 2024; Soltas and Gruber, 2026). However, formal zoning rules are not the only determinant of what gets built. Informal regulations, often exercised through the discretionary power of local politicians, also play a significant role in shaping development patterns. Many major cities in the United States have a fragmented regulatory approval system that includes the discretionary judgment of the local city councilmember or a similar politician.<sup>1</sup> This potential for individual discretion to differentiate otherwise similar regulatory environments can induce uncertainty in the development process and potentially lower housing supply in cities (Mayer and Somerville, 2000*a*; Hilber and Robert-Nicoud, 2013; Khan, 2021; Mast, 2024). Informal discretion from individual politicians can substantially lengthen the development timeline. When developers face long and unpredictable timelines, projects shrink, marginal investments become unviable, and housing supply falls (Cunningham, 2006; Bloom, 2009; Oh, Yang and Yoon, 2024). Despite this evidence, there is little empirical work on how individual politicians use these informal regulatory powers to shape housing supply.

This paper studies this form of informal regulatory power in the context of Chicago’s “aldermanic privilege,” the unwritten but influential authority of each of Chicago’s 50 city council members (aldermen) to unilaterally block or approve development in that member’s ward. Chicago has no city charter, so there is no statutory basis for this power (McClintock, 2025). It operates through an unspoken mutual understanding: other aldermen vote with the local member on land use matters in exchange for similar support in their own

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<sup>1</sup>Analogous forms of council-member deference in land-use decisions have been documented in Philadelphia, Los Angeles, and New York City (Burnett and Kogan, 2014; Jacobson, 2023; Mitre-Becerril and MacDonald, 2024; New York City Charter Revision Commission, 2025).

wards, city agencies follow the local alderman’s lead, and developers understand that major projects require the alderman’s blessing (Thale, 2005; Einstein, Glick and Palmer, 2019; Khan, 2021). This creates sharp changes in regulatory authority at ward boundaries, even when the neighborhood and zoning are quite similar. Two parcels on opposite sides of the same street, in the same neighborhood, with the same zoning, can face very different regulatory regimes depending on which alderman represents them. I use this sudden change in regulatory authority to study how informal regulations affect housing supply and prices.

To measure the regulatory environment each alderman creates, I construct “regulatory stringency scores” from processing times for permits likely to involve substantial aldermanic discretion, which include new construction, renovations, and demolitions. I deem these “high-discretion” permits since they are the most likely to require aldermanic approval. The motivation for using processing time variation is simple: delay makes projects less valuable, and a developer who expects years of meetings, redesigns, and uncertainty may build a smaller project or be deterred from building at all (Kydlund and Prescott, 1982; Mayer and Somerville, 2000*a*; Paciorek, 2013; Gyourko, Hartley and Krimmel, 2021; Soltas and Gruber, 2026).

I first use the 2015 ward redistricting to test whether permitting changes when a census block is reassigned to a different ward. This design holds location fixed while changing the assigned alderman. Using this within-census-block variation, I find that reassignment toward greater stringency reduces the annual number of high-discretion permits recorded by the city by about 12% during 2015–2020. This result is driven asymmetrically by movement toward more stringent aldermen: these census blocks see a 20.7% reduction in high-discretion permits, compared with a 7.0% increase for blocks reassigned to a more lenient alderman. I find no statistically significant effect on low-discretion permits, consistent with an effect concentrated in permits more exposed to aldermanic discretion.

I then examine whether new housing is built at lower density under more stringent aldermen. Following Bayer, Ferreira and McMillan (2007) and Kulka, Sood and Chiumenti

(2026), I employ nonparametric regression-discontinuity designs at ward boundaries to estimate effects on new construction density. I find a 9% reduction in FAR and a 14% reduction in DUPAC on the more-stringent side of ward boundaries, with slightly larger effects for multifamily new construction.

I also compare rents and sale prices across ward boundaries. I find a sharp increase in home prices across the boundary of about 3.0%. I also find a 1.8% increase in listed rents, but the estimate is imprecise and not statistically significant. Although these results are more suggestive, their direction is consistent with lower supply on the more-stringent side and with informal regulation affecting affordability.

This paper contributes most directly to work on local political control and fragmented land-use authority. Fischel (2009) argues that homeowners use local institutions to restrict development and protect property values, and subsequent work shows how decentralized jurisdictions can adopt restrictions that are locally rational but collectively costly (Hilber and Robert-Nicoud, 2013; Ortalo-Magné and Prat, 2014; Monarrez and Schönholzer, 2023; Mast, 2024; Bordeu, 2025; Kulka, Sood and Chiumenti, 2026). I show that politicians within a fragmented system can create different regulatory environments even when formal rules are shared.

In Chicago specifically, Freemark (2020) studies formal upzoning and Khan (2021) finds that aldermen approve smaller rezonings near ward boundaries where the benefits to their constituents are lower. I add to this literature by showing that the effects of informal regulatory discretion extend beyond formal zoning or statutory upzonings and appear in permitting activity and the density of new construction, not only in zoned density.

The paper also contributes to work on permitting delays and time-to-build, since the effects of these informal regulations are often realized through development uncertainty and delays. Development lags are a first-order determinant of housing supply (Mayer and Somerville, 2000*a,b*; Paciorek, 2013). Recent work finds that rules-based planning shortens construction timelines and that developers place substantial value on lots with ready-to-issue

permits (Lyons and Sweeney, 2025; Soltas and Gruber, 2026). I use alderman-specific variation in permitting time and connect this to both permit activity and completed housing density.

## 2 Institutional Background and Data

### 2.1 Aldermanic Privilege and the Development Process

Chicago’s City Council consists of 50 aldermen, each representing a single ward. Chicago’s uniquely informal norms give each alderman broad authority over development within ward boundaries. This practice, known as “aldermanic privilege” or “aldermanic prerogative,” rests on custom rather than formal law, in part because Chicago has no city charter (McClintock, 2025). On matters affecting a single ward, other aldermen defer to the local representative, and city agencies follow the alderman’s lead (Thale, 2005; Zhang, 2011). The convention is strong enough that aldermen have often been described as “little mayors” governing their wards as personal fiefdoms (Einhorn, 1991). One alderman described the system candidly: “I often liken the City of Chicago to a feudal system, where the mayor is sort of a de facto king. And each alderman is the lord of their individual fiefdom.” (Keefe, 2013)

**The formal mechanism.** Two reforms narrowed this authority in 2019. A new construction code repealed a rule that had generally required the Department of Buildings to notify the local alderman of permit applications and wait ten days. Mayor Lightfoot’s Executive Order 2019-2 separately directed city departments not to defer to aldermen when municipal law did not require it. Neither reform eliminated aldermanic influence: other notification requirements remained, departments continued to solicit aldermanic input, and aldermen retained City Council authority over zoning and other legislative approvals (City of Chicago, 2019; Mayor’s Press Office, 2019; Schutz, 2019). Lightfoot captured the problem directly: “If you’ve got 50 separate fiefdoms that you have to deal with on issues like affordable housing,

or just getting a sign on your building, it makes doing business with the city of Chicago damn near impossible.” (Spielman, 2019b) The Metropolitan Planning Council made the same point from the developer side: “before a development even gets to the point of being indefinitely delayed, many never make it past ‘Go’ because of required aldermanic letters of support.” (Metropolitan Planning Council, 2019)

**How prerogative shapes development.** Aldermanic discretion enters well before formal permit issuance and continues after a project is filed.

*Pre-application.* Experienced Chicago developers know that projects requiring rezoning or smaller modifications need the alderman’s support before formal papers are filed. Although not legally required, aldermanic support is all but essential in practice: without it, a developer risks investing heavily in design, legal, and engineering work before facing rejection at the political stage. One anonymous Chicago architect described the dynamic: “To get the alderman, you have to get the neighborhood group, and that’s where the trouble comes in. It’s fraught with risk, even to have this conversation.” (Giangreco, 2024)

*Rezoning.* For projects requiring a change to the zoning code, the alderman’s role is effectively dispositive. Although zoning amendments formally require a City Council vote, the council “routinely shows unquestioning deference to local aldermen even in the absence of any articulated local concern” (Chase, 2023). Equally consequential is the alderman’s ability to preemptively *downzone* parcels to foreclose future development. Joseph Schwieterman, a DePaul University professor who studies Chicago land use, noted that the practice “creates real uncertainty for real estate developers when downzoning becomes ad hoc or driven by the desire of an alderman to settle scores.” (Gallun, 2019) Documented episodes include Ald. Brendan Reilly’s proposals to downzone a River North site where a developer had proposed a 60-story tower and a separate site to block a 615-room hotel, and a Pilsen downzoning orchestrated by Ald. Solis that stripped a parcel of its residential designation to kill a planned 465-unit apartment project.

*Permit processing.* For projects that proceed by right under existing zoning, the alderman retains substantial informal influence over the Department of Buildings permit queue. The corruption case against Ald. Ed Burke illustrated the mechanism in an extreme form: federal prosecutors documented how his staff withheld routine permits—including a driveway permit for a fast-food restaurant—until the property owner directed legal business to Burke’s law firm (Spielman, 2019a). The case made visible what developers had long understood: in Chicago, permit timing is another lever aldermen can use to delay and suppress projects they oppose. In interviews, a former alderman described substantial use of the permit process to deter developers from trying to overrule the alderman on rezoning and planning matters earlier in the process.

**A recent example.** Developer Fern Hill began community outreach in 2021, proposing a roughly 500-unit mixed-income tower at a transit-accessible site in the 2nd Ward, with approximately 100 affordable units and an estimated \$2.5 million in annual property tax revenue. After four years and more than ten community meetings, Ald. Brian Hopkins announced in January 2025 that he would not advance the project, citing opposition from residents of neighboring high-rises. He was explicit about the source of his authority: “Ultimately I am the decision maker on this. I’m not going to hide from that. This is a zoning decision and in Chicago we have something called aldermanic prerogative.” (Achong, 2025) Within two weeks the developer resubmitted a 349-unit proposal, cutting 151 units (30 percent) and 101 feet from the tower; Hopkins then approved it (TRD Staff, 2026). The episode captures both margins this paper studies: the approved project is smaller than what the developer proposed (intensive margin), and the four-year ordeal signals to other developers the cost of attempting large projects in wards with active aldermanic gatekeeping (extensive margin).

**Federal scrutiny.** In 2023, the U.S. Department of Housing and Urban Development (HUD) concluded that aldermanic prerogative operates as a “local veto” that allows wards

to block, deter, or downsize affordable housing, especially in majority-white areas (Chase, 2023); outside groups have made similar civil-rights arguments (Shriver Center on Poverty Law, 2019). The question of whether to reform or abolish aldermanic privilege remains a central issue in Chicago politics.<sup>2</sup>

## 2.2 Building Permits and the Permit Process

The City’s public data contain permits recorded by the Department of Buildings since 2006. Each record reports when the application began and when the permit was issued, but cannot capture projects abandoned before they progress far enough to generate a permit record. I use the universe of “high-discretion” permits from 2006–2022 that have valid geographic coordinates and nonnegative processing times. Online Appendix A.3 describes the separate sample used to estimate stringency scores in the event study. I divide permits into two groups based on how much aldermanic discretion they are likely to face.

*High-discretion permits* are permits for projects where aldermen are most likely to matter: new construction, renovation or alteration, demolition, porch construction, and reinstated permits.<sup>3</sup> These are the permit types most likely to draw community opposition and face delays due to community meetings or direct aldermanic intervention. *Low-discretion permits* are all remaining permit types outside this high-discretion group, excluding signs. I use them as a placebo comparison group because they are generally less exposed to discretionary aldermanic intervention.

High-discretion permits take longer to process and vary more across aldermen: their mean processing time is 57.3 days, compared with 26.2 days for low-discretion permits (Figure 1). Processing time is negatively associated with ward-month permit volume for high-discretion permits but weakly positively associated for low-discretion permits, consistent with the former capturing regulatory friction rather than general administrative capacity.

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<sup>2</sup>See <https://news.wttw.com/elections/voters-guide/2023/races/city-council>, where each city council candidate was asked specifically about their stance on aldermanic prerogative.

<sup>3</sup>Porch construction permits have received extra scrutiny since the 2003 balcony collapse.



Online Appendix Table C.3 reports the corresponding statistics.

## 2.3 Regulatory Stringency Scores

I construct the stringency score using permit records from 2006–2022. I first adjust processing times for observed differences across wards, locations, permits, and months, then estimate the remaining alderman-specific differences. The first stage regresses log processing time at the permit level on ward-level demographic controls (median household income, racial composition, homeownership rate, population), permit-location geographic controls (distance to the central business district (CBD), lakefront proximity, Chicago Transit Authority (CTA) rail access), lagged ward-month permit volume, and fixed effects for year-month, permit type, and review type:

$$\log(\text{Processing Time}_i) = X_i'\theta + \phi_{m(i)} + \psi_{c(i)} + \xi_{v(i)} + \varepsilon_i, \quad (1)$$

where  $i$  indexes permits,  $X_i$  contains the observed permit and location controls, and  $m(i)$ ,  $c(i)$ , and  $v(i)$  denote the permit’s year-month, permit class, and review type. Online Appendix Table B.1 reports the coefficients on the first-stage controls.

The second stage averages the adjusted processing times by ward and month, then regresses those averages on alderman indicators and the same lagged ward-month permit-volume control. Ward-months are weighted by the number of permits observed:

$$\bar{\varepsilon}_{wm} = \mu + \alpha_{a(w,m)} + \chi \text{Volume}_{w,m-1} + \nu_{wm}. \quad (2)$$

Here  $a(w, m)$  denotes the alderman serving ward  $w$  in month  $m$ . The raw alderman fixed effects  $\hat{\alpha}_a$  can be noisy for aldermen with few permits. I therefore apply empirical Bayes shrinkage (Kline, Rose and Walters, 2022, 2024) to pull imprecise estimates toward the grand mean, then standardize the scores, denoted  $S_a$ , to have mean zero and unit standard deviation.

Online Appendix Figure B.1 maps the stringency scores in 2014 and 2022, shows their distribution, and reports a low within-ward correlation between predecessor and successor aldermen ( $\rho \approx 0.16$ ). The scores vary across wealthy and poor neighborhoods and across the North and South Sides, supporting an alderman-specific rather than ward-level interpretation.

## 2.4 New Construction Data

I construct a citywide dataset of new residential construction in Chicago between 2006 and 2022 using publicly available data from the Cook County Assessor’s Office. I combine residential improvement characteristics with commercial valuation records for properties assessed under multifamily model groups. Together, these files report dwelling units, stories, building area, and land area. I locate each project using Assessor parcel records, assign it to a ward using City of Chicago shapefiles, and define the construction date as June 15 of the recorded year built since I cannot observe an exact date. For the boundary-discontinuity analyses, I divide ward boundaries into approximately 1,320-foot segments and assign each project to the nearest segment. Because some ward boundaries are several miles long, the segments ensure that compared projects are near both the same boundary and each other. I keep projects with positive lot area, positive building area, and at least one dwelling unit. The FAR and DUPAC analyses use the same projects with both measures available.

Because zoning measured today may reflect subsequent changes, I assign each project the broad zoning group in force on its assigned construction date. Online Appendix A.4 describes the historical zoning reconstruction.

For each project I compute two standard density measures: Floor Area Ratio (FAR), defined as total building area divided by lot area, and Dwelling Units Per Acre (DUPAC), defined as dwelling units divided by lot acreage. I measure each project’s distance to its nearest ward boundary.

Table 1 presents summary statistics. The descriptive sample contains 13,635 new resi-

dential projects throughout Chicago with both density measures available, including 2,582 classified as multifamily. I report the multifamily sample separately because aldermanic discretion is likely to matter most for larger projects.

## **2.5 Rental Listings**

RentHub provides scraped rental listings. I use Chicago listings from 2014 through December 2022 and collapse repeated scrapes to one floorplan-month observation, using the median asking rent observed that month. Rents are expressed in 2022 dollars using the monthly Chicago CPI-U.

## **2.6 Home Sales**

Home sales come from Cook County Assessor records. I use filtered transactions of single-family homes, townhouses, and small multifamily buildings (2–6 units) from 2006 through 2022. Prices are expressed in 2022 dollars using the monthly Chicago CPI-U. Full 14-digit property index numbers (PINs) determine location and date-specific ward assignments, and same-year Assessor records provide property characteristics. I exclude transactions whose exact day is unavailable when an adjoining ward changes aldermen or the ward map changes during the reported month.

Online Appendix A provides additional detail on the rental and home sales data.

# **3 Conceptual Framework**

## **3.1 Developer Problem**

Delay makes projects less valuable. A developer who expects years of meetings, redesigns, and uncertainty may respond by building a smaller project, waiting, or walking away (Kydland and Prescott, 1982). The model below turns that intuition into a simple time-to-build

problem.

Consider a developer choosing the scale  $q \geq 0$  (units of housing) of a project on a given site. Construction costs are  $C(q) = F\mathbf{1}\{q > 0\} + cq + \frac{\eta}{2}q^2$  with  $F, \eta > 0$ , so building requires a fixed cost and marginal costs rise with project size. The developer can instead leave the site unbuilt and earn zero. Let  $P$  denote the local price level, taken as given at the project level.

Let  $S$  index the stringency of the local regulatory environment. Stringency maps into an *effective time-to-build*  $T(S)$  with  $T'(S) > 0$ . The term  $T(S)$  summarizes entitlement delay, redesign requirements, negotiation costs, financing frictions, and regulatory uncertainty that push expected revenue further into the future. If revenue arrives upon project completion, the developer's expected discounted revenue per unit is  $e^{-rT(S)}P$ , where  $r$  is the relevant discount or financing rate. The developer solves

$$\max_{q \geq 0} e^{-rT(S)}Pq - C(q).$$

Conditional on building, the first-order condition gives the interior scale

$$q^I(S, P) = \frac{e^{-rT(S)}P - c}{\eta}.$$

At this scale, the project's profit is  $(e^{-rT(S)}P - c)^2 / (2\eta) - F$ . The developer therefore builds only when the project covers its fixed cost, and the optimal choice is

$$q^*(S, P) = \begin{cases} \frac{e^{-rT(S)}P - c}{\eta}, & \text{if } e^{-rT(S)}P - c \geq \sqrt{2\eta F}, \\ 0, & \text{otherwise.} \end{cases}$$

For projects that are built,  $\partial q^* / \partial T(S) < 0$ . Longer or more burdensome regulatory processes therefore reduce project scale and can also push marginal projects from “build” to “do not build.”

### 3.2 From Developer Choices to Empirical Predictions

Indexing sites by  $i$ , total housing supply is  $Q = \sum_i q_i^*(S_i, P_i)$ . Higher  $T(S_i)$  reduces  $Q$  through two direct margins: projects that are built at lower density and marginal projects that are no longer built. These are the main predictions I take to the data. The flow of permits requiring aldermanic review should fall when stringency increases (Section 4.1), and sites in more stringent regulatory environments should have lower completed density (Section 4.2).

With downward-sloping demand  $P'(Q) < 0$ , a supply contraction can also raise housing costs. That prediction is less sharp in the data because prices may adjust over a wider geography, but I find suggestive evidence that prices are higher on the more-stringent side of ward boundaries in Section 4.3.

### 3.3 Interpretation of the Stringency Score

In the model, these frictions enter through the index  $rT(S)$ . A higher value means revenue arrives later and is worth less today. That affects both the developer's intensive-margin density choice and the extensive-margin decision to build or not.

The aldermanic stringency score  $S_a$  constructed in Section 2.3 measures the alderman-specific component of observed processing time. I interpret a higher  $S_a$  as a more stringent regulatory environment and thus a higher effective time-to-build  $T(S)$ . Other dimensions of regulatory friction, such as impact fees, design mandates, or community benefit requirements, would enter as additional costs in  $C(\cdot)$  and reinforce the same qualitative predictions. The core idea is that longer observed processing times for permits on larger discretionary projects are a noisy but informative signal of delay that lowers density, reduces aggregate supply, and may raise prices.

## 4 Results

### 4.1 Permit Activity After Redistricting

I first ask whether permit activity changes when the same location is assigned to a different alderman. Chicago’s 2015 ward redistricting moved some census blocks toward wards represented by more stringent aldermen and others toward wards represented by more lenient aldermen. Nearby blocks that remained in their original ward provide the comparison group. The design therefore holds the physical location fixed while changing its assigned regulatory environment. The primary analysis sample keeps boundaries for which both the origin- and destination-ward aldermen serving in 2014 remained in office when the new map took effect, since newly elected aldermen’s development preferences could be endogenous to prior development activity in the ward. I also require each block to have at least one high-discretion permit during the five years before redistricting. Without that restriction, any later permit on a block with no previous activity would mechanically appear as an increase.

The outcome is the number of high-discretion permits recorded on each census block in each year from 2010 through 2020. The outcome therefore measures when projects observed in the permit data first appeared in the process. These are the high-discretion permits defined in Section 2.2.

I estimate a Poisson pseudo-maximum likelihood event study that treats moves toward greater stringency and greater leniency as opposite changes:

$$\log \mathbb{E}[Y_{by} \mid \cdot] = \mu_b + \lambda_{g(b),y} + \sum_{t \neq -1} \beta_t Z_b \mathbf{1}\{y - 2015 = t\}. \quad (3)$$

Here  $Y_{by}$  is the permit count for block  $b$  in calendar year  $y$ ,  $\mu_b$  is a block fixed effect, and  $\lambda_{g(b),y}$  is a ward-pair-by-year fixed effect for the ward pair  $g(b)$  containing block  $b$ . Event time is  $t = y - 2015$ , with  $t = -1$  omitted. Let  $\Delta S_b$  be the destination-minus-origin difference in standardized aldermanic stringency for block  $b$ . For blocks that change wards,

$Z_b = \text{sign}(\Delta S_b)$ ; it equals zero for blocks that remain in the same ward. I classify moves using the 2014 incumbents in each block’s origin and destination wards, with scores estimated only from permits filed between 2006 and 2014. Using the 2014 incumbents separates ward reassignment from changes in representation associated with the 2015 elections. This specification imposes equal-and-opposite effects in logs for assignments toward more stringent and more lenient aldermen. Panel A of Figure 2 plots the coefficients  $\beta_t$ . The pre-trends are not distinguishable from zero. The pooled 2015–2020 estimate is  $-0.127$  ( $\text{SE} = 0.049$ ), equivalent to an 11.9% reduction in the annual number of high-discretion permits associated with a move toward greater stringency. Panels B and C relax the symmetry restriction by estimating the two directions separately. The decline in permitting activity comes mostly from moves toward more stringent aldermen, which reduce high-discretion permits by 20.7%; blocks assigned toward more lenient aldermen experience a 7.0% increase. Online Appendix Table C.2 reports the corresponding pooled estimates without the symmetry restriction and shows the results are nearly identical.

This asymmetry suggests that aldermanic discretion operates through uniquely stringent aldermen blocking activity that would otherwise occur, rather than uniquely lenient aldermen allowing activity that formal city regulations would otherwise block. This distinction matters for the likely aggregate effect of informal regulatory discretion on housing supply because it is possible *ex ante* that a few particularly pro-development aldermen approve more housing than a centralized system would. The results instead suggest that informal aldermanic discretion reduces housing supply relative to a more centralized counterfactual.

## 4.2 Density at Ward Boundaries

I next examine the individual new construction projects described in Section 2.4 on opposite sides of the same ward boundary, moving the unit of analysis from census blocks to projects. Projects within 500 ft of the same boundary segment face similar neighborhood amenities and demand conditions, but different aldermen. Following Bayer, Ferreira and McMillan

(2007) and Kulka, Sood and Chiumenti (2026), I divide signed distance to the boundary into 100 ft bands and compare projects in each band with projects in the nearest band on the less-stringent side. I estimate the following specification:

$$\begin{aligned} \log(Y_{isy}) = & \sum_{k \in \mathcal{K}, k \neq [-100, 0)} \kappa_k \mathbf{1}\{d_{is} \in k\} + X_i' \theta \\ & + \zeta_{z(i,y)} + \delta_s + \gamma_y + \varepsilon_{isy}. \end{aligned} \tag{4}$$

Here  $Y_{isy}$  is FAR or DUPAC for project  $i$ , assigned to boundary segment  $s$  and built in calendar year  $y$ . The running variable  $d_{is}$  is negative on the less-stringent side and positive on the more-stringent side. The set  $\mathcal{K}$  contains ten 100 ft bands from  $-500$  to  $500$  ft. The band from  $-100$  to  $0$  ft is omitted, so  $\kappa_{[0,100)}$  compares projects immediately across the boundary. The vector  $X_i$  contains the White population share, the Black population share, median household income, the bachelor's-degree share, and the homeownership rate on the project's side of the boundary. The model also includes the zoning group in force when the project was built, boundary-segment fixed effects, and construction-year fixed effects. Standard errors are clustered by ward pair.

Figure 3 plots the distance-band estimates. The omitted band is normalized to zero, and the subtitle in each panel reports  $\kappa_{[0,100)}$ . For all new construction, FAR is about 9% lower and dwelling units per acre about 14% lower immediately across the boundary on the more-stringent side. Among multifamily projects, FAR is about 13% lower and dwelling units per acre about 17% lower. All four differences are statistically distinguishable from zero at the 10% level or better. The similar results for FAR and dwelling units per acre indicate that the difference is present in both floor space and the number of homes placed on a parcel.

As a falsification test, I repeat the same comparison at artificial cutoffs 1,000 ft inside either side of the true ward boundary. These locations do not mark a change in aldermanic authority. Online Appendix Figure D.1 shows little evidence of corresponding breaks at these artificial cutoffs. None of the eight placebo estimates is statistically distinguishable



from zero at the 10% level. The contrast with the true boundary makes it less likely that the main estimates reflect a general spatial pattern within wards. Online Appendix D presents the placebo figures along with continuity tests for fixed location characteristics, restrictions based on boundary geometry, and donut checks.

### 4.3 Evidence on Rents and Sale Prices

The permit and density results indicate that more stringent aldermen reduce development activity and the density of completed housing. The model in Section 3 indicates that this should feed into housing costs, the most directly policy-relevant outcome given Chicago’s current rent and price growth. For rents and sales, I estimate

$$\log(Y_{isp}) = \sum_{k \in \mathcal{K}, k \neq [-100, 0)} \kappa_k \mathbf{1}\{d_{is} \in k\} + X_i' \theta + \lambda_{t(i)} + \delta_{sp} + \varepsilon_{isp}, \quad (5)$$

where  $Y_{isp}$  is the real listed rent or real sale price for observation  $i$  near boundary segment  $s$  in calendar period  $p$ . As in the density analysis,  $\mathcal{K}$  contains ten 100 ft distance bands and the band from  $-100$  to  $0$  ft is omitted. The coefficient  $\kappa_{[0, 100)}$  therefore compares observations in the two bands immediately across the boundary. The fixed effects compare observations near the same boundary segment in the same month for rents and the same quarter for sales.  $X_i$  includes unit or property characteristics and distances to nearby schools, parks, major roads, CTA stops, and Lake Michigan. The term  $\lambda_{t(i)}$  denotes property-type fixed effects: building type reported in rental listings for rents and Cook County Assessor property class for sales. Standard errors are clustered by ward pair.

Figure 4 plots these distance-band estimates.

Listed rents are 1.8% higher on the more-stringent side relative to the less-stringent side, although the estimate is imprecise. Home sale prices are 3.0% higher on the more-stringent side relative to the less-stringent side. I treat the sales result as suggestive because transactions are less frequent near any particular boundary and their composition is harder

to hold fixed. Online Appendix E shows that the result disappears at artificial cutoffs inside either ward and is similar when I restrict the sample to straight boundaries or exclude observations immediately next to the boundary.

## 5 Discussion

### 5.1 Interpretation and Mechanisms

Taken together, the redistricting and boundary results show that individual politicians create meaningfully different regulatory environments within a single city. Within-census-block variation shows that permitting falls when a census block is reassigned to a more stringent alderman, while completed projects on the more-stringent side of ward boundaries are built at lower density. The price and rent comparisons are more tentative, but their direction is consistent with these differences in housing supply.

The central implication of these results is that the effect of political fragmentation on housing supply extends beyond formal zoning rules. Two otherwise similar projects governed by the same municipal code can face different timelines, negotiations, and prospects for approval because they are represented by different aldermen. Political fragmentation can therefore arise within a city, even without separate municipal governments or formally different regulatory codes.

These informal regulations can affect development along both extensive and intensive margins. Additional meetings, redesigns, and uncertain approval timelines reduce the expected return to development. Developers may respond to these additional demands, or the threat of them, by shrinking or abandoning projects before they enter the permitting data. The Fern Hill episode described in Section 2 illustrates these margins. The project that ultimately received approval was smaller than the original proposal, and approval followed four years of meetings and negotiation. The time-to-build framework in Section 3 captures the underlying economic force: delay lowers the value of development, reduces the scale of

projects that remain viable, and can cause marginal projects to disappear.

These findings complement Khan (2021), who shows that Chicago aldermen approve smaller increases in allowed density near ward boundaries, where their constituents capture fewer of the benefits from development. Informal political control can therefore affect not only what the zoning code allows, but also whether development proceeds and what ultimately gets built.

## 5.2 Informal Discretion Beyond Chicago

Chicago provides an especially clear setting because aldermanic privilege is unusually powerful, but the underlying institution is not unique to Chicago. Local council-member deference in land-use decisions has also been documented in Philadelphia, Los Angeles, and New York City (The Pew Charitable Trusts, 2015; Ryu, 2020; Anbinder, 2025; New York City Charter Revision Commission, 2025; Mitre-Becerril and MacDonald, 2024; Burnett and Kogan, 2014; Jacobson, 2023).

In many major U.S. cities, individual politicians can create distinct regulatory environments when projects require discretionary approval and other officials defer to the representative of the affected district. Under these conditions, the identity and preferences of the local politician can matter even when the written rules remain similar across districts. The broader lesson—that informal regulations can dampen housing supply and affect affordability—likely applies to other major cities as well.

## 5.3 Policy Implications

Local politicians may possess useful information about neighborhood conditions and provide residents with a clear channel for political accountability. But ward-level representatives also have little reason to internalize the citywide benefits of additional housing, and informal discretion allows them to impose delay and uncertainty after the formal rules have been established. The resulting regulatory environment may reflect the preferences of an individual

officeholder or a small group of constituents, without accounting for benefits elsewhere in the city.

While this paper cannot pin down the optimal balance between local input and centralized authority, it does point to predictability and transparency as important goals for reform. Expanding the scope of by-right approval would allow projects that comply with established rules to proceed without obtaining the support of an individual alderman. Published approval criteria, enforceable timelines, and meaningful appeal procedures could preserve local participation while limiting uncertainty. Moving some decisions to citywide bodies could also make it easier to account for housing benefits that extend beyond the ward in which a project is located.

Chicago’s lack of a city charter makes the allocation of authority particularly dependent on unwritten norms. A charter would not by itself eliminate aldermanic influence, but it could formally define approval authority, procedures, and avenues for appeal (McClintock, 2025). More generally, reforms aimed only at zoning classifications or formal voting rules may have limited effects if individual politicians retain informal control over permitting, project design, or administrative implementation.

These institutional choices matter as Chicago confronts rapidly rising rents (Davis, 2026). More broadly, the results show why evaluations of land-use regulation should look beyond the written zoning code. When individual political actors possess substantial discretionary authority, who administers the rules can matter as much as the rules themselves.

## 6 Conclusion

This paper studies how informal regulations and the discretion of individual political actors affect housing supply within a city. I focus on Chicago’s aldermanic privilege, the informal power of each of the city’s 50 aldermen to block or approve development in that member’s ward. This institution allows individual politicians to create different regulatory environ-

ments within a single municipal system.

Using permit processing times for projects where aldermen are most likely to matter, I construct aldermanic stringency scores that isolate the alderman-specific component of regulatory delay after accounting for permit, location, time, and ward characteristics. Using the 2015 ward redistricting to identify changes in assigned stringency, I find that reassignment toward greater stringency reduces the annual number of high-discretion permits recorded by the city by about 12% during 2015–2020. A boundary comparison shows that new construction is less dense on the more-stringent side of ward boundaries, with multifamily FAR about 13% lower and DUPAC about 17% lower immediately across the boundary. I also find a 3.0% increase in home prices and a suggestive 1.8% increase in listed rents, although the rent estimate is imprecise.

These results show that formal zoning rules do not fully describe the regulatory environment facing a developer. Similar projects governed by the same municipal and zoning codes can face different timelines and prospects for approval depending on the local politician. Effective land-use reforms must address not only the formal rules governing what can be built, but also the informal political institutions that determine whether and how development proceeds.

# **Declaration of Generative AI and AI-assisted Technologies in the Manuscript Preparation Process**

During the preparation of this work, the author used OpenAI's Codex to assist with manuscript editing, primarily for clarity and concision, and with coding for data cleaning and analysis. The author reviewed and validated all code and edited all manuscript content as needed and takes full responsibility for the content of the published article.

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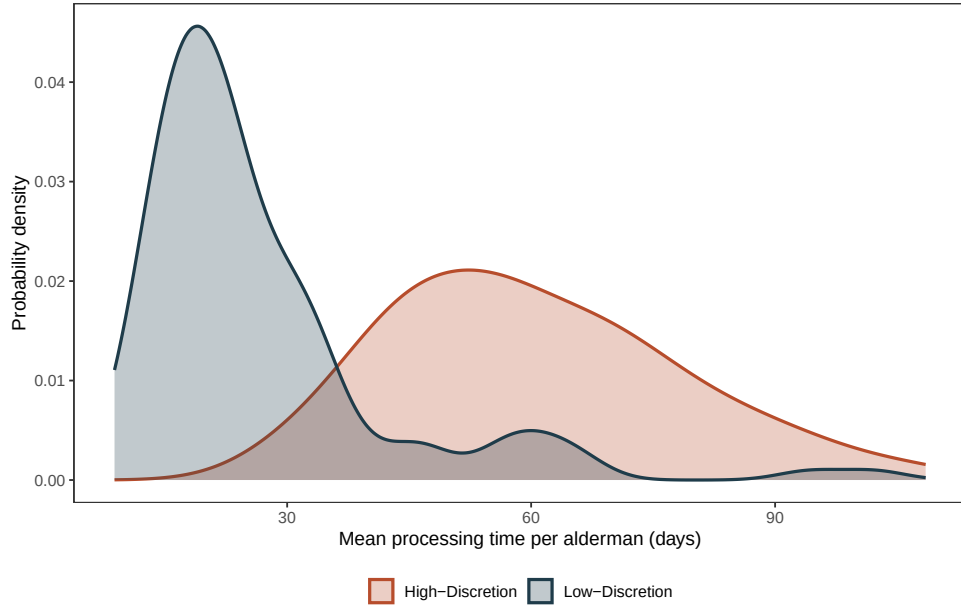


Figure 1: Permit Processing Times Across Aldermen

*Notes:* The curves show how mean processing times vary across aldermen, separately for high- and low-discretion permits, using records through December 2022. The high- and low-discretion permit groups are defined in Section 2.2. Processing time is days from application to issuance.

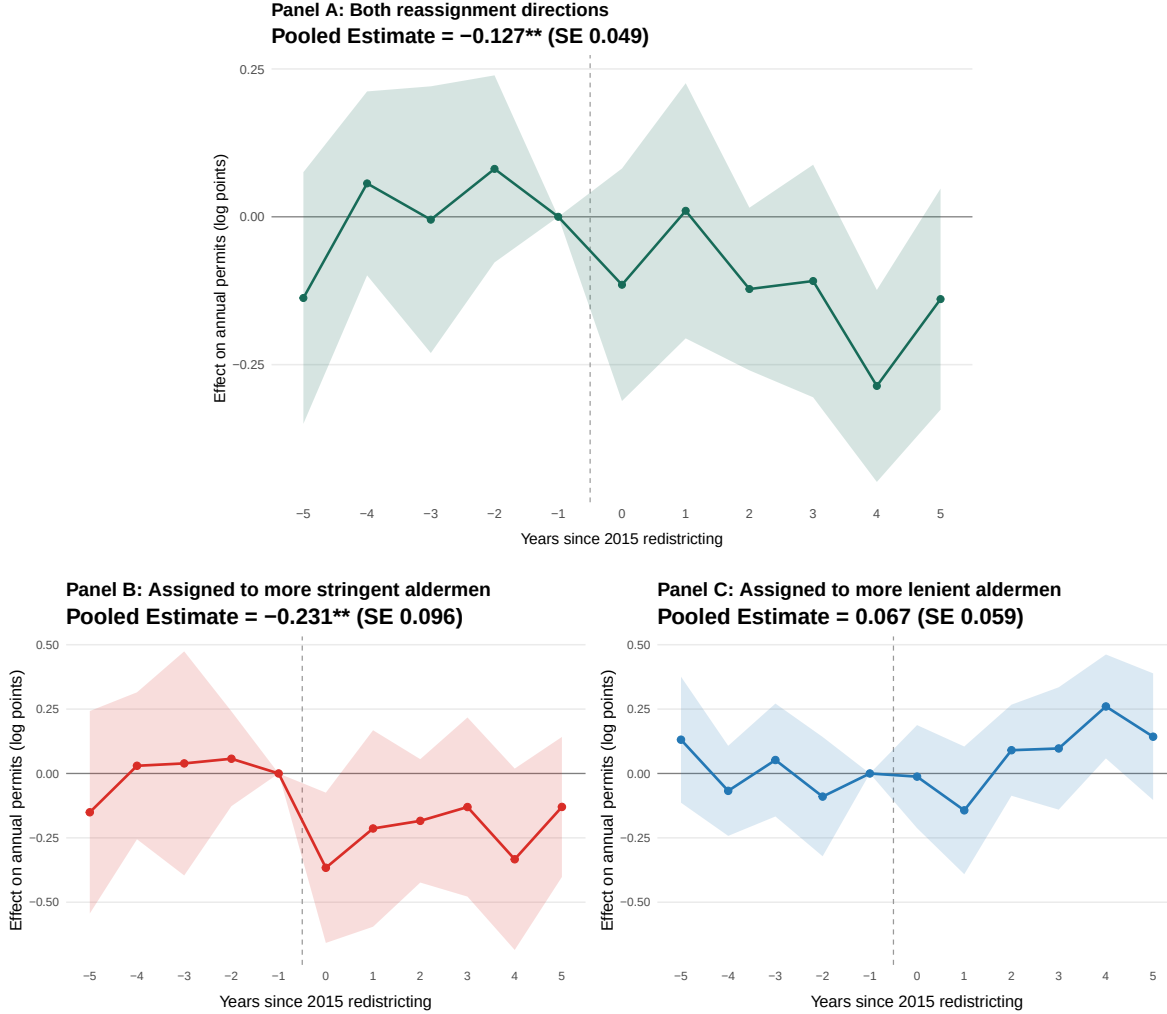


Figure 2: Permit Activity After the 2015 Ward Redistricting

*Notes:* The figure compares annual high-discretion permit activity on blocks reassigned to more- or less-stringent aldermen in 2015 with nearby blocks that stayed in their wards. The 2010–2020 sample includes blocks within 500 ft of ward boundaries; Online Appendix A.3 details sample construction. Panel A combines both reassignment directions using Equation (3); Panels B and C allow the effects of the two directions to differ. Points show effects in log points relative to 2014; subtitles report pooled 2015–2020 coefficients on the same scale. Panel A’s pooled coefficient of  $-0.127$  corresponds to an 11.9% reduction in annual permits for assignment toward greater stringency. Shaded areas are 95% confidence intervals based on standard errors clustered by ward pair. The test that the pre-2015 effects in Panel A are jointly zero gives  $p = 0.400$ . \*  $p \leq 0.10$ , \*\*  $p \leq 0.05$ , \*\*\*  $p \leq 0.01$ .

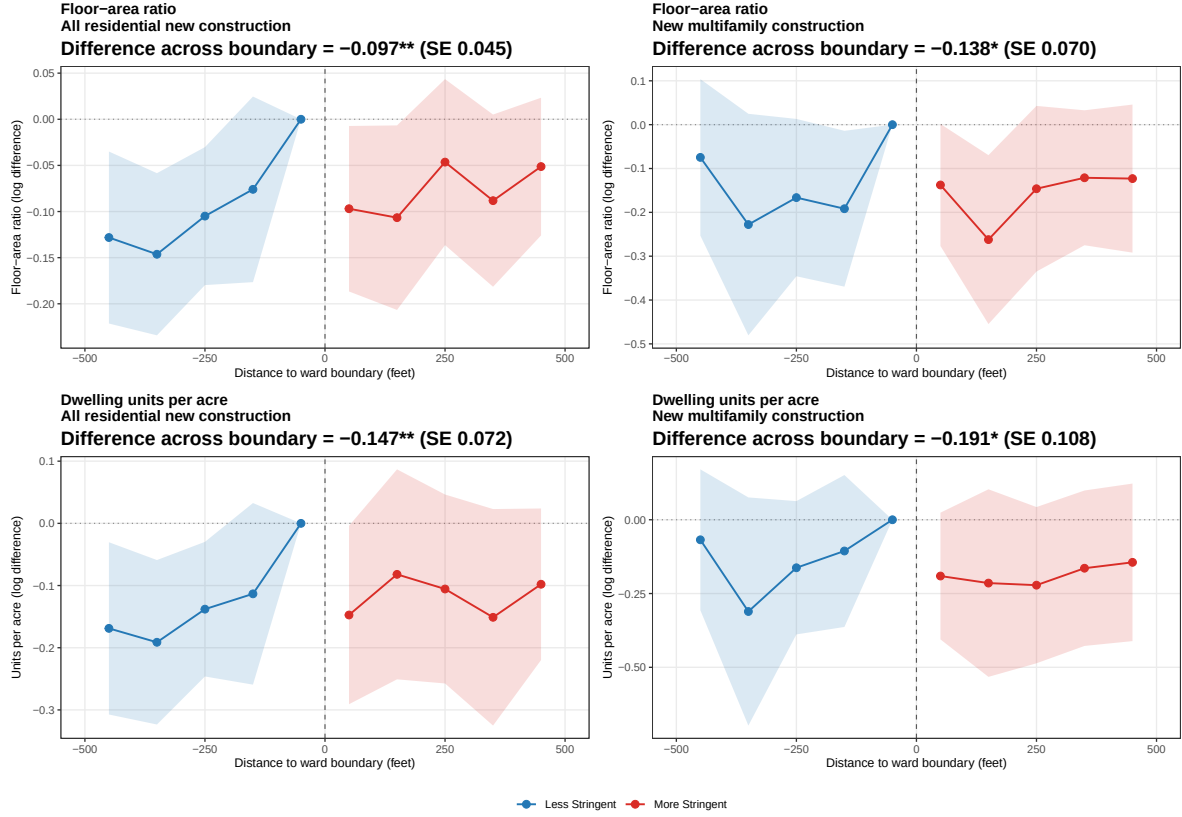


Figure 3: Development Density at Ward Boundaries

*Notes:* Left column: all residential new construction; right column: new multifamily construction. Top row: floor-area ratio; bottom row: dwelling units per acre, both in log differences. Samples include new construction within 500 ft of ward boundaries with both FAR and DUPAC available. Each point is the coefficient for a 100 ft distance band from Equation (4). The nearest band on the less-stringent side, from -100 to 0 ft, is omitted and normalized to zero. Subtitles report the coefficient for the nearest band on the more-stringent side, from 0 to 100 ft. Shaded areas are 95% confidence intervals based on standard errors clustered by ward pair. Negative distance indicates the less-stringent side and positive distance the more-stringent side. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

Listed rents and home sale prices at ward boundaries

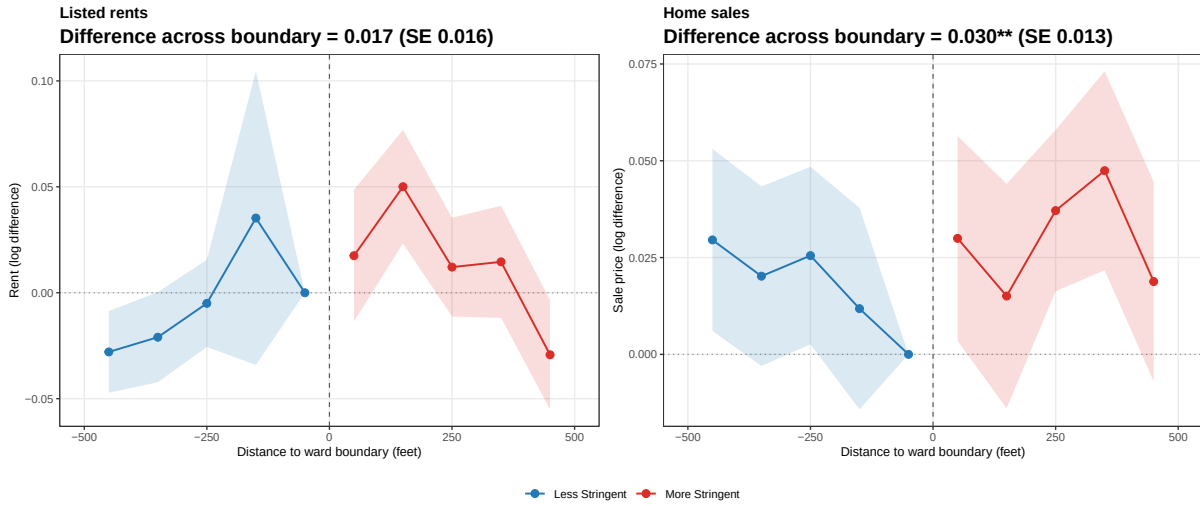


Figure 4: Listed Rents and Home Sale Prices at Ward Boundaries

*Notes:* The left panel uses monthly asking rents by floorplan from 2014–2022, with segment-by-month fixed effects. The right panel uses 58,468 sales of detached houses, townhouses, and apartment buildings with two to six units from 2006–2022, with segment-by-quarter fixed effects. Both panels control for housing characteristics and distances to nearby amenities. Rental controls include listing building-type fixed effects; sales controls include Cook County Assessor property-class fixed effects. Each point is the estimated log difference between a 100 ft distance band and the band immediately inside the less-stringent side, which is normalized to zero. Shaded areas are 95% confidence intervals. Subtitles report the comparison between the two bands adjacent to the boundary. Standard errors are clustered by ward pair. \*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

Table 1: New Residential Construction in Chicago, 2006–2022

|                                  | All New Construction | Multifamily |
|----------------------------------|----------------------|-------------|
| Average FAR                      | 1.16                 | 2.09        |
| Average Units per Project        | 5.81                 | 26.10       |
| Average DUPAC                    | 26.94                | 65.18       |
| Median Distance to Boundary (ft) | 915                  | 826         |
| Ward Pairs / Boundary Segments   | 139/1388             | 112/805     |
| Number of Projects               | 13,635               | 2,582       |

Notes: The table summarizes projects with recorded building area, lot area, and dwelling units. FAR is building area divided by lot area. DUPAC is dwelling units per acre. Multifamily refers to buildings containing two or more dwelling units.